

**JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION
SPRDL1-25-R-0217**

1. Contracting Agency: Defense Logistics Agency - DLA Land Warren (DLA-WRN).

2. Description of Action: DLA-WRN proposes to award a new Firm-Fixed-Price contract to Renk America LLC, Commercial and Government Entity (CAGE) 02978, or an offeror providing the approved product for National Stock Number (NSN) 4810014344019, 4810014344020, Left Body, Valve, Right Body, Valve, using Army Working Capital Funds (AWCF).

3. Description of Supplies/Services: The NSN 4810014344019, 4810014344020 , part number E9AR131-0030-1, E9AR131-0030-2 / N/A, Left Body, Valve, Right Body, Valve, is used on the M88 FOV. The deliverable for this contract is for a base quantity of 104 units (Left Body, Valve) and 122 units (Right Body, Valve), each with a 100% option, making the total combined quantity 452 units. The total maximum value of this contract is [REDACTED]

Body, Valves are essential components of an automatic transmission that routes transmission fluid throughout the system. It contains a series of valves and solenoids that control the flow of fluid, enabling gear changes by directing fluid to the appropriate areas within the transmission. The valve body acts as a housing for various valves that manage the vehicle's gearing, ensuring smooth operation and performance.

PRON	EH5C0525EH	EH5C0526EH
Item Name	Body, Valve (Left)	Body, Valve (Right)
NSN	4810014344019	4810014344020
Manufacturer Part Number	E9AR131-0030-1	E9AR131-0030-2
Government Part Number	N/A	N/A
Cage Code	02978	02978
Contract Type	Firm Fixed Price	Firm Fixed Price
Unit Cost	[REDACTED]	[REDACTED]
Yearly Usage	[REDACTED]	[REDACTED]
Minimum Guaranteed	104	122
Maximum Quantity	208	244

Minimum Contract Cost		
Maximum Contract Cost		
TOTAL MIN		226
TOTAL MAX		452

Acquisition Method Code (AMC):

3 - Acquire, for the second or subsequent time, directly from the actual manufacturer.

Acquisition Method Suffix Code (AMSC):

D - The data needed to produce this item from additional sources is not physically available.

4. Authority Cited: The statutory authority permitting other than full and open competition for this effort is 10 United States Code (U.S.C.) 3204(a)(1) as implemented by the Federal Acquisition Regulation (FAR) 6.302-1, Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

5. Reason for Authority Cited: The aftercooler bypass assembly is a crucial component of the AVDS series 2 engine. The engine is equipped with an aftercooler and an aftercooler bypass. The bypass valve body is a large casting. The bypass uses a valve system that operates as follows: an unrestricted airflow path exists during initial transient response. At steady state, full load conditions where engine thermal loading is at its maximum, the valve directs all induction air through the aftercooler providing maximum aftercooler effectiveness and minimum manifold temperature.

The Government does not own the necessary intellectual property data rights to the pertinent technical data to enable competitive re-procurement.

The Government does not have rights to the Technical Data Package (TDP) or specifications.

The approved source, Renk America, LLC., has proven the ability to manufacture the aftercooler bypass valve body. Renk Valve Bodies can meet the MIL-DTL-62177 durability specification which is an adapted form of the North Atlantic Treaty Organization (NATO) requirement for successful completion of NATO Laboratory Test for Gas Turbine Engines AEP-5, Allied Engineering Publication while operating on an AVDS 2-Series Engine. This test is required for components that are critical for engine/vehicle operation

[REDACTED] The approved source has proven that they are able to deliver Valve Body assemblies of sufficient quality in support of the AVDS 2-Series Engines. If another possible source of supply for this item were identified, qualification testing would be required.

A fully developed, build-to-print TDP of the Aftercooler Bypass Valve Body Assembly is not available.

Only Renk America, LLC. has the experience and capability to manufacture an engine block assembly that can withstand the 400-hour NATO endurance test within an AVDS 2-Series Engine. A reverse engineering effort to develop a fully mature TDP is estimated to cost [REDACTED] and would require [REDACTED] months to develop. Additionally, testing of the reverse engineered engine block would require successful completion of the 400-hour (hr.) NATO and vehicle-level durability testing required to prove out the technical data. If manufactured by a new source, the required vehicle level testing is estimated at [REDACTED] (Reliability, Availability, and Maintainability (RAM), NATO 400 hr., Full Load Cooling and Cold Test and will take approximately [REDACTED] months to complete without any major issues. A cost estimate breakdown is as follows:

Reverse Engineering Effort	Delay	Cost
Design Activity:		
Development of TDP Obtain sample set of four blocks:	[REDACTED]	[REDACTED]
Obtain 2 AVDS 2-Series Engines for 400 hr. dynamometer testing:	[REDACTED]	[REDACTED]
Technical data development:	[REDACTED]	[REDACTED]
Teardown and rebuild two engines with prototype Valve Bodies:	[REDACTED]	[REDACTED]
Validation Activity:		
Prototyping, Integration, Test:	[REDACTED]	[REDACTED]
NATO 400 hr. dyno test:	[REDACTED]	[REDACTED]
Vehicle Level Qualification RAM Testing of 5,000 miles:	[REDACTED]	[REDACTED]
Full Load Cooling Test:	[REDACTED]	[REDACTED]
Cold Test:	[REDACTED]	[REDACTED]
Total:	[REDACTED]	\$5.2M

The Government would not be able to recover, through subsequent competition, the duplication of costs involved in reverse engineering the item to create a competitive TDP or qualify additional source(s) within a reasonable time frame. At the current combined average usage rate of [REDACTED] units each year, a current average unit cost of [REDACTED], and assuming 10% savings achieved through competition, the [REDACTED] in annual savings would take over [REDACTED] to offset the estimated \$5.2M cost of reverse engineering the item and validating a competitive TDP or qualifying another source.

Current stock on hand estimates for these items are [REDACTED] with the Average Monthly Demand (AMD) being [REDACTED] per month for the Left Valve Body, and [REDACTED] per month for the Right Valve Body. Because the stock-on-hand is [REDACTED], pursuing a [REDACTED] reverse engineering project would result in an accumulation of backorders, line-stoppage at the depot assembly level for the AVDSs, and non-mission capable vehicles.

6. Efforts to Obtain Competition:

- a. Effective competition: Due to the reasons cited in Section 5, the Government is limiting the competition to the sources cited in Section 2 above. Notices required by FAR 5.201 will be posted.
- b. Subcontracting competition: Unless the contract is awarded to a small business, the solicitation and resulting contract will include FAR clauses 52.219-8, "Utilization of Small Business Concerns", 52.244-5, "Competition in Subcontracting", 52.219-16, "Liquidated Damages--Subcontracting Plan", and Defense Federal Acquisition Regulation Supplement 252.219-7003, "Small Business Subcontracting Plan (DoD Contracts)", to maximize small business opportunities and utilization.

7. Actions to Increase Competition: There are no plans to increase competition for future procurements due to the reasons cited above.

8. Market Research: A Sources Sought Notice was posted to SAM.gov on 24 June , and was open for 16 days. One response was received.

In accordance with the tenets set forth in FAR 10.002(b)(2)(vii), market research was performed by the Ground Vehicle Systems Center (GVSC), Heavy Combat Vehicle (HCV), Sustainment Engineering on 6 June 2025 by reviewing available product literature published by Cummins Inc and Caterpillar Inc. to determine if commercial items or non-developmental items are available to meet Government's needs or could be modified to meet the Government's needs. While these two sources have the ability to manufacture Valve Body assemblies, they currently manufacture Aftercooler Bypass Valve Body Assemblies for specific applications which are already existing and would be required to manufacture AVDS Aftercooler Bypass Valve Body Assemblies from scratch once the technical data was fully developed.

Since neither of these sources have produced this specific item, they have not completed the necessary testing to become a qualified source. Renk America, LLC. (CAGE 02978) is currently the only source that provides the Aftercooler Bypass Valve Body Assemblies for the AVDS engine that are approved to support the Government requirement.

DEVCOM Engineering completed web-based market research on 6 June 2025, searching for companies that manufacture heavy duty diesel engines.

Keyword: Aftercooler bypass 12-cylinder diesel

Website: [https://parts.cummins.com/esn-entry/main/part details/3001299/parts-search](https://parts.cummins.com/esn-entry/main/part%20details/3001299/parts-search)

Findings: No solutions found specific to the correct Valve Body architecture needed to accommodate the AVDS-1790 engine components.

Website: <https://parts.cat.com/en/catcorp/search?q=aftercooler&page=1>

Findings: No solutions found specific to the correct Valve Body architecture needed to accommodate the AVDS-1790 engine components.

9. Interested Sources: To date additional sources have expressed interest in this item as listed above in Section 8.

A sources sought was posted on 24 Jun 2025 and was open for 16 days. One inquiry was received from Howell Laboratories Inc. The responding vendor did not show the ability or present any supporting documents to prove they can be a qualified source.

10. Other Facts: Procurement History:

Contract Number: SPRDL1-20-P-0179

Award Date: 01 Sep 2020

Contractor: EOS Inc (Authorized distributor of RENK AMERICA LLC)

Contract Value: \$249,600

Competitive Status: Competitive

Contract Number: W56HZV-05-P-0230

Award Date: 07 JAN 2005

Contractor: GENERAL DYNAMICS LAND SYSTEMS

Contract Value: \$64,210.56

Competitive Status: Not Competed

11. Technical Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Branch Chief, Engineering
Signature: _____

8/19/2025

X [REDACTED]

12. Requirement Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Branch Chief, Procurement
Signature: _____

8/15/2025

X [REDACTED]

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination will be based on the results of a detailed cost and/or price analysis. The contractor will not be required to submit certified cost or pricing data as value of this procurement falls below the threshold.

Name: Jacob Silcox
Title: Contracting Officer
Signature: _____

8/28/2025

X Jacob A. Silcox

Signed by: SILCOX.JACOB.A. [REDACTED]

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Jacob Silcox
Title: Contracting Officer
Signature:

8/28/2025

 Jacob A. Silcox

Signed by: SILCOX.JACOB.A. 